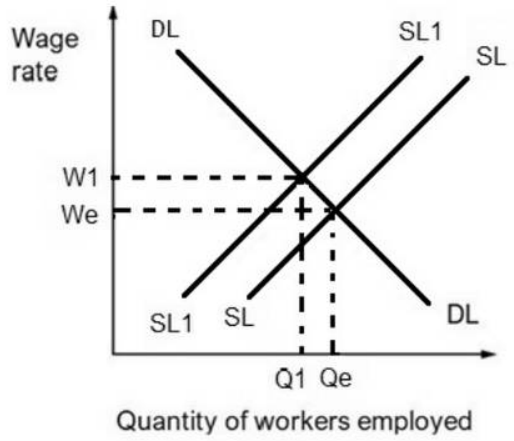
Type MS · Draw a shift in a labour market diagram

Answer 1 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** Privatisation A is not correct because this is the creation of new land from drained wetlands B is not correct because this is the creation of a new product from an idea C is not correct because this is where an enterprise previously part of the private sector is taken into state ownership	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Farmer A is not correct because it is a service C is not correct because it is not production involving extraction of raw materials from the earth D is not correct because it in the tertiary sector	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for leftward shift of labour supply, labelled Award 1 mark for higher equilibrium wage rate, labelled Award 1 mark for lower equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Draw a shift in a labour market diagram

Answer 1 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other • This means that more agricultural goods and copper could be produced and more construction could take place, without the need to shift resources to alternative production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a shift in a labour market diagram

Answer 1 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • External costs are negative spillover effects of consumption or production • Brick production creates an external cost because it affects third parties in a negative way • This is because it emits smoke and dust into the air which is then breathed in by people in Bangladesh • Demand for bricks is increasing, causing an increase in air pollution • The health of children and the elderly can be affected by this pollution but they are not involved in the production of bricks • Government may have to increase spending on health provision • Brick production contributes considerably to Bangladesh's severe air pollution problem, creating an external cost **AO4** • However, many people in Bangladesh will be customers of the construction industry and the bricks produced • Therefore, these people are not necessarily third parties and so costs of producing bricks may not be external costs (they create private benefits too) • It is sometimes difficult to quantify the external costs and so impossible to know whether the elderly or those with a heart condition have been negatively affected by the costs of producing bricks • Over one million people are employed in the brick production industry in Bangladesh • Therefore, it could be argued the extent to which the costs of producing bricks in Bangladesh are external, is limited

Type MS · Draw a shift in a labour market diagram

Answer 1 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a shift in a labour market diagram

Answer 1 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

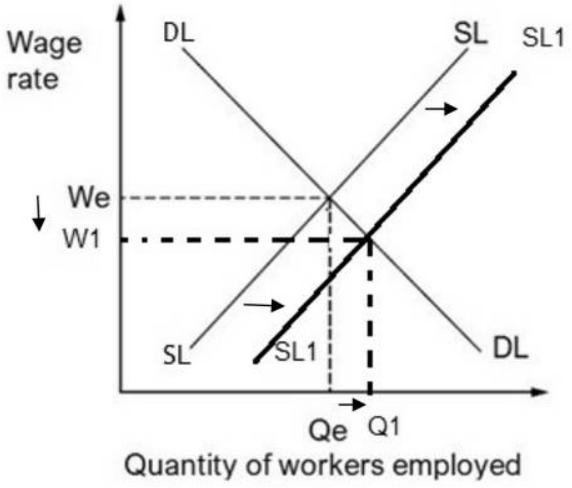
Type MS · Draw a shift in a labour market diagram

Answer 2 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** **B** Flexibility	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Price inelastic	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for rightward shift of labour supply, labelled Award 1 mark for lower equilibrium wage rate, labelled Award 1 mark for higher equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Draw a shift in a labour market diagram

Answer 2 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Collusion is where a firm in an oligopoly cooperates with its competitors • It is an anti-competitive practice because it makes firms such as those in the pharmaceutical industry, act like a monopoly • This means it is more difficult for new firms to enter the market and reduces the choice for consumers • This could make it more difficult for consumers to find cheaper medication or to have less choice of the firm they buy from • Collusion to fix prices could lead to the pharmaceutical firms receiving higher profits at the expense of the consumer • One such example of price fixing for prescribed medication was the consumer paying $4.70 instead of just $0.13 per tablet

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a shift in a labour market diagram

Answer 2 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • By providing funding for roads in Cambodia, repairs could be made to the > half of the 6,000 km of roads in need of maintenance • This could improve the safety standard of roads and lead to fewer accidents, meaning more people are available to work in the Cambodian economy • It could also allow construction of new roads that can cope with increased business in Cambodia • This would most likely create positive externalities for Cambodian businesses that could benefit from cheaper/quicker transportation of goods • This would mean business could continue to grow in Cambodia, providing more revenue for the government through taxes **AO4** • However, the cost of improving the roads means less government revenue would be available for other things such as health and education • Therefore the Cambodian economy may not benefit as much from public sector investment to improve the roads as if the money was invested elsewhere • There is a high number of roads 'of poor quality' meaning it may take a long time for the Cambodian economy to benefit from the public sector investment • If the Cambodian economy continues to grow, further construction of roads may be needed and the public sector investment may not be able to keep up with the growth

Type MS · Draw a shift in a labour market diagram

Answer 2 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a shift in a labour market diagram

Answer 2 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a shift in a labour market diagram

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

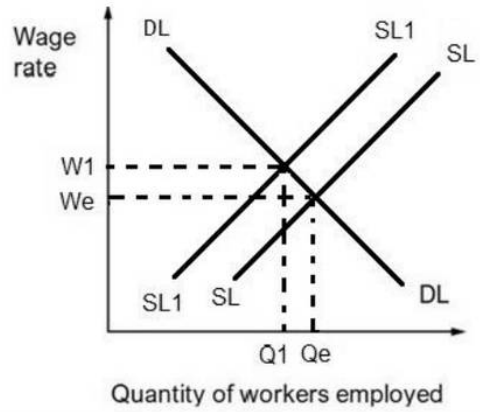
3(a)	**AO1 1 mark** The only correct answer is: **A** an inferior good and demand is price inelastic B is not correct because PED is less than -1, not greater than -1 C is not correct because YED is negative D is not correct because the PED would need to be greater than -1	**(1)**

Question number	The formula for social benefits is **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** private benefits + external benefits A is not correct because it does not include any third-party effects B is not correct because it includes costs D is not correct because this is not a formula used to calculate social benefits	**(1)**

Type MS · Draw a shift in a labour market diagram

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for leftward shift of labour supply, labelled Award 1 mark for higher equilibrium wage rate, labelled Award 1 mark for lower equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Draw a shift in a labour market diagram

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why some people may ignore the negative impacts of spending a lot of time using a mobile phone. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers are not always good at calculating what is or is not good for them • Therefore, the mass of information and facilities available on a mobile phone can be difficult to resist • This is also true due to the habit many people have developed to use their mobile phone for so many things in daily life • Developing such a habit of reaching for the phone for a wide variety of reasons can reduce a person's ability to make rational decisions • When so many other people spend so much time on their phone, this behaviour can influence others • Therefore, making it difficult to maximise their benefit regarding use of mobile phones

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a shift in a labour market diagram

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the role of the secondary sector in an economy. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The secondary sector is the production of goods by converting raw materials from the primary sector • Manufacturing is an example of a secondary sector industry • The income and tax revenue provided from the secondary sector can help fund services in the tertiary sector, therefore giving a reason why the economy might be reliant on the secondary sector • In addition, many services rely on production from the secondary sector to be able to provide their services, e. g. transport services (tertiary) rely on the car production (secondary), sales services (tertiary) rely on the production of finished goods (secondary) to sell • Without the production of vehicles, computers and food processing in the secondary sector, the tertiary sector would not be able to deliver services reliant on transport, monitor sales using computers/technology or serve food in restaurants **AO4** • However, the economy focuses on the provision of a range of services in the tertiary sector, including insurance and banking, as well as health care and education • Revenue earned in the tertiary sector could be used by governments to fund manufacturing of equipment, such as that used in defence • Therefore, the tertiary sector may play a more important role in an economy • Tertiary sector services need the expertise and skills of professionals such as accountants, doctors and teachers • Therefore, the tertiary sector relies on elements such as skills and qualifications as well as on the secondary sector • The economy relies on the primary sector as well, for the extraction of raw materials to use during production (in the secondary sector)

Type MS · Draw a shift in a labour market diagram

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a shift in a labour market diagram

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Calculate the **excess demand** for tickets if the quantity supplied for all three events totals 60,000. You are advised to show your working. **Answer**	Mark

Type MS · Draw a shift in a labour market diagram

Answer 4 of 4 · Question 3 part c · 3 marks

2025 NOV · Paper 01 · extract 1 of 7 · find part c in this mark scheme extract

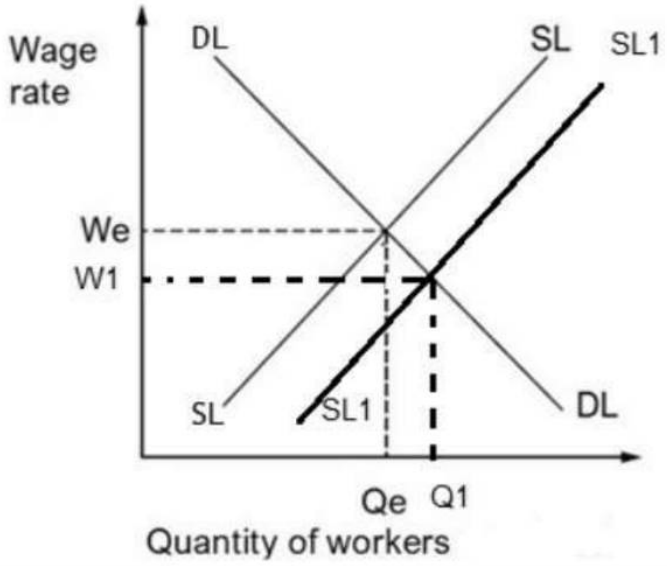
3(a)	**AO1 1 mark** The only correct answer is: **D** Aims of the entrepreneur A is not correct because a small firm is unlikely to have the power to take over any other firm B is not correct because a small firm is likely to have limited sources of finance C is not correct because a small firm cannot spread risk	**(1)**

Question number	Which **one** of the following describes a price elasticity of supply (PES) of 1.5? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** Price elastic A is not correct because this would be 1 B is not correct because this would be 0 D is not correct because this would be less than 1	**(1)**

Type MS · Draw a shift in a labour market diagram

Answer 4 of 4 · Question 3 part c · 3 marks

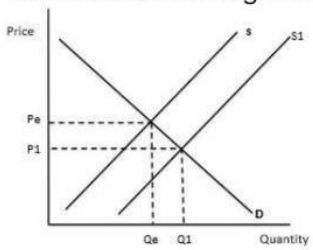
2025 NOV · Paper 01 · extract 2 of 7 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a rightward shift in the supply of labour, labelled Award 1 mark for a lower equilibrium wage rate, labelled Award 1 mark for a higher quantity of workers, labelled  	(3)

Type MS · Draw a shift in a labour market diagram

Answer 4 of 4 · Question 3 part c · 3 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Possible use of a diagram:  • Natural factors, such as favourable weather could shift the supply curve outwards/to the right (from S to S1) • Favourable weather can increase supply because it can make it easier to grow olives and therefore make it cheaper to produce olive oil • Greece's production was expected to increase by 100,000 tonnes from the previous year in the 2025 season (Qe to Q1) • This will therefore result in a decrease in the price (from Pe to P1) if demand stays the same • This is evident from the expected fall in price of olive oil by at least 50%, from €10 000 per tonne to between €4 000 and €5 000 per tonne

Type MS · Draw a shift in a labour market diagram

Answer 4 of 4 · Question 3 part c · 3 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity andorganisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a shift in a labour market diagram

Answer 4 of 4 · Question 3 part c · 3 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Fitnation of offering the discounted price. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fitnation may have aims that include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • As Fitnation regularly offers discounted entry to city residents, making a profit is not its main aim • Instead, the aim could be described as completing charitable work, meaning the centre is contributing towards benefits for the country • Some people may visit the fitness centre because they like the aim of the business, therefore increasing custom • As a result, the profit of Fitnation may increase as well as an increase in sales due to it completing charitable work **AO4** • However, as fewer facilities are available for members one day a week, some may decide that paying a fee/price of between $25 and $50 is not in their best interests • This is because they cannot make the most of their membership and the money they paid, so they are not able to maximise their benefit • Therefore, the number of members/people paying full price to access the facilities at the fitness centre may decrease • This means that revenue may fall and it may be more difficult for Fitnation to make a profit

Type MS · Draw a shift in a labour market diagram

Answer 4 of 4 · Question 3 part c · 3 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a shift in a labour market diagram

Answer 4 of 4 · Question 3 part c · 3 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part c in this mark scheme extract

Question number	When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working. **Answer**	Mark